



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Mrs Elaine Biddlecombe

Of

9/127 Power Street

HAWTHORN VIC 3122

Prepared on:

27th August 2020

By your Adviser:

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

27/08/2020

Mrs Elaine Biddlecombe
9/127 Power Street
HAWTHORN VIC 3122

Dear Elaine,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Gifting monies to your children
- Retirement Income Planning
- Superannuation Structure
- Centrelink Strategies

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Elaine, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Gift monies to your children now so that you can see them benefit from these monies in your lifetime.
- Ensure you can generate approximately \$45,000 p.a. in retirement.
- Determine the most appropriate manner in which to generate the aforementioned income in retirement (i.e. superannuation, Age Pension or a combination of both).
- Review your superannuation portfolio.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mrs
First Name	Elaine
Surname	Biddlecombe
Gender	M
Date of Birth	22/02/1955
Age Last Birthday	65

Employment Details

Employment Status	Permanent Part-Time (4 days p.w.)
Occupation	Midwife

Estate Planning

	Elaine
Do you have a Current Will?	Yes
Do you have a Testamentary Trust?	No

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Residential Home	\$1,200,000
Total Lifestyle Assets	\$1,200,000

Investment Assets	
Cash at bank	\$50,000
Total Investment Assets	\$50,000

Superannuation Assets	
Hesta – Accumulation Fund (3836094)	\$383,472
Hesta – Pension Fund (3333002296)	\$661,680
Total Superannuation Assets	\$1,045,152

Total ASSETS	\$2,295,152
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LIABILITIES

Nil	\$0
Total Liabilities	\$0

NET WORTH	\$2,295,152
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Notes: As the above information has been used in preparing our recommendations please advise us of any errors or omissions.

The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2020-21

<i>Taxable income</i>	<i>Tax on this income</i>
\$1 – \$18,200	Nil
\$18,201 – \$37,000	19c for each \$1 over \$18,200
\$37,001 – \$90,000	\$3,572 plus 32.5c for each \$1 over \$37,000
\$90,001 – \$180,000	\$20,797 plus 37c for each \$1 over \$90,000
\$180,001 and over	\$54,097 plus 45c for each \$1 over \$180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase	-	Tax rate = 15%
Superannuation in 'pre-retirement pension' phase	-	Tax rate = 15%
Superannuation in 'allocated pension' phase	-	Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate (max 45% + medicare)	n/a	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	n/a
Investment income	Marginal tax rate (max 45% + medicare)	Maximum 15%	Tax free*
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free*

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-65	Age 65-74*	Age 75 and over
From 1 July 2012	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2013	\$25,000	\$25,000	\$35,000	\$35,000	SGC only
From 1 July 2014	\$30,000	\$35,000	\$35,000	\$35,000	SGC only
From 1 July 2017	\$25,000	\$25,000	\$25,000	\$25,000	SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 65	Age 65 to 74	Age 75 and over
From 1 July 2007	\$150,000 p.a.	May bring forward two years of contributions to make a \$450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	\$180,000 p.a.	May bring forward two years of contributions to make a \$540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	\$100,000 p.a.	May bring forward two years of contributions to make a \$300,000 contribution in one financial year	Must be employed	Cannot contribute

Current Superannuation Structure

Elaine, you currently have the following superannuation structure:

Hesta Income Stream - 3333002296

The key details of this fund are as follows:

- Current balance of **\$661,680**
- You are drawing a **fortnightly** income stream of **\$1,025.76** from this fund (**\$26,670 p.a.**)
- The fund is invested as follows:
 - 41% Conservative Option
 - 59% Balanced Option
- The investment returns to 30/06/20 are as follows:

1 year	3 years (p.a.)	5 years (p.a.)
1.31%	6.16%	6.39%

Hesta Accumulation Fund - 3826094

The key details of this fund are as follows:

- Current balance of **\$383,472**
- You are salary sacrificing **\$920 a fortnight** into this fund (**\$23,920 p.a.**)
- Your employer contributions were **\$9,826** in the 2020 Financial Year and **\$9,137** in the 2019 Financial Year.
- The fund is invested in the Core Pool option
- The investment returns to 30/06/20 are as follows:

1 year	3 years (p.a.)	5 years (p.a.)
0.00%	5.84%	6.27%

Superannuation Comments / Considerations:

Contributions

- The concessional contribution cap (as detailed on Page 13) is \$25,000 p.a.
- You have exceeded your concessional contribution cap in the past two financial years.
- **We would suggest you reduce your level of salary sacrifice to a level which will see you remain under the concessional contribution cap.**
- A salary of \$70,000 p.a. would normally attract employer Super Guarantee (SG) contributions of \$6,650 p.a. (9.5% of \$70,000).
 - We note that your employer contributions have been significantly more than this over the past two years.

Pension Income Stream

- You are currently drawing an income stream of **\$26,670 p.a.** For the 2020/21 Financial Year, the minimum you are required to draw down is 2.5% of the fund balance as at 1/07/20. This equates to **\$16,270**. The minimum drawdown will then revert to 5% p.a. from the 2021/22 financial year.
- **We would suggest considering reducing your fortnightly income stream in order to preserve your capital.**

Gifting Monies to Your Children

- Elaine, you would like to gift monies to your children now so that you can see them benefit from these monies in your lifetime. Your thinking is to gift each of the four children an amount of \$150,000 (total of \$600,000) from your superannuation fund.
- As you are 65 years of age, you are eligible to withdraw these monies from superannuation should you wish.
- Should you take these monies from superannuation and gift them to your children, there will be no tax payable by you.
- The most pertinent issue to address is whether you will have sufficient resources to satisfy your retirement income should you reduce your superannuation balance by \$600,000.
- This issue is addressed within the 'Retirement Projections' section of this Statement of Advice.

Government Age Pension

The Government Age Pension provides income support, as well as access to a range of concessions to older Australians. The eligible age is slowly increasing from age 65 to age 67.

Period within which a person was born	Pension age	Date pension age changes
From 1 July 1952 to 31 December 1953	65 years and 6 months	1 July 2017
From 1 January 1954 to 30 June 1955	66 years	1 July 2019
From 1 July 1955 to 31 December 1956	66 years and 6 months	1 July 2021
From 1 January 1957 onwards	67 years	1 July 2023

The Age Pension is subject to two means tests, an assets test and an income test. The pension amount is determined by whichever test gives the lowest end payment benefit.

The asset and income means tests are applied to each individual or couple, with the Age Pension payment rate reducing if the individual or couple hold assets, or earn income, over the outlined minimum thresholds. These thresholds are outlined below:

Income test

Single		
Fortnightly Income	Up to \$178	Over \$178
Reduction in payment	None – full payment rate	50 cents for each dollar over \$178
Couples		
Fortnightly Income	Up to \$316	Over \$316
Reduction in payment	None – full payment	50 cents for each dollar over \$316(combined)

For a single person, the **‘cut-off’ limit** (i.e. the point where you would receive no Age Pension) is an income of **\$2,066.60 per fortnight**.

Asset test

Family Situation	For Homeowners	For Non-Homeowners
Single	\$268,000	\$482,500
Couple (combined)	\$401,500	\$616,000
Reduction in payment	\$3 per fortnight for every \$1,000 over the above amounts	\$3 per fortnight for every \$1,000 over the above amounts

For a single person, the **‘cut-off’ limits** (i.e. the point where you would receive no Age Pension) are assets of **\$583,000 (homeowner)** and **\$797,500 (non-homeowner)**.

Age Pension Payment Rates

The current maximum fortnightly payment rate for the Age Pension, including the pension supplement, is outlined in the table below:

Per fortnight	Single	Couple each	Couple combined	Couple apart due to ill health
Maximum basic rate	\$860.60	\$648.70	\$1,297.40	\$860.60
Maximum Pension Supplement	\$69.60	\$52.50	\$105	\$69.60
Energy Supplement	\$14.10	\$10.60	\$21.20	\$14.10
Total	\$944.30	\$711.80	\$1,423.60	\$944.30

As stated, the maximum rate may be reduced due to the thresholds outlined via the relevant means test.

Deeming

The deeming rules assume your financial assets are earning a certain amount of income, regardless of the income they actually earn. Deeming encourages you to earn more income from your investments and reduces the extent that your payments may vary.

Deeming is used to calculate income for pension, benefit and allowance payments.

- Currently, if you are single:
 - The first \$53,000 of your financial assets has the deemed rate of 0.25% applied. Anything over \$53,000 is deemed to earn 2.25%.

If the actual income you receive from your investments is more than the deemed income calculated, the extra income is not counted when assessing your rate of pension, benefit or allowance.

Gifting

You can give away money or other assets to any value you choose at any time, but the rate of income support payment you receive may be affected if you gift assets worth more than the allowable gifting amount or 'free area'.

The gifting rules are:

- there is an allowable gifting amount or free area for a single person or a couple of \$10,000 in a single financial year, and,
- there is an allowable gifting amount or free area for a single person or a couple of \$30,000 over a five-year rolling period. The rolling five-year period is the current financial year plus the previous four financial years
- Any asset or amount that you gift over and above either the \$10 000 in a single year free area or the \$30,000 five-year free area is treated as a gift or deprived asset for five years from the date of disposal.

Gifts are:

- included in your assets until the fifth anniversary of the date of the gift
- deemed to earn income in the same way as financial assets
- any amounts you disposed of or gifted in the five years immediately before you were granted a payment can also be considered.

Gifting includes:

- money or any asset you have transferred to members of the family or other relatives
- gifts to other people or charities
- assets sold for less than their market value

Gifting does not include you selling or reducing your assets to meet normal expenses, for example, to buy consumer goods like a fridge or washing machine, for home maintenance/improvements, or to pay for holidays. Nor does it include payments for services received, e.g. lawn mowing.

Your Age Pension Entitlement

Elaine, we have taken the liberty of calculating your **approximate** entitlement to the Age Pension **based on your current circumstances (if you were to cease working)**, i.e.:

- A. What would your Age Pension entitlement be based on your current superannuation balance?
- B. What would your Age Pension entitlement be if you reduced your current superannuation balance by \$600,000?
- C. What would your Age Pension entitlement be if you reduced your current superannuation balance by \$400,000?

Please note that these figures are high level and approximate as the Age Pension entitlements will change over the next five years, as will your superannuation balance. Based on the projected superannuation balance in five years' time, it is unlikely that you will be eligible to receive an Age Pension at that time (refer retirement capital projections detailed later in this Statement of Advice).

(A) AGE PENSION ENTITLEMENT AT RETIREMENT BASED ON CURRENT SUPERANNUATION BALANCE

As your assets exceed the 'cut-off' limit of \$583,000 you would not be eligible to receive an Age Pension.

(B) AGE PENSION ENTITLEMENT AT RETIREMENT IF YOU REDUCED YOUR SUPERANNUATION BALANCE BY \$600,000

Age Pension Assets Test

$$\$495,152 - \$268,000 = \$227,152 / 1,000 = \$227.15$$

$$\$227.15 \times \$3 = \$681.45 \text{ reduction p.f.}$$

$$\text{Therefore, Age pension payable} = \$944.30 - \$681.45$$

$$= \$262.85 \text{ p.f.}$$

$$= \text{\textcolor{green}{\$6,834.10 p.a.}}$$

Age Pension Income Test

(A) Financial Investments

➤ Reduced Hesta Superannuation Funds	-	\$445,152
➤ Cash at Bank	-	<u>\$ 50,000</u>
		\$495,152

First \$53,000 deemed as earning 0.25%	=	\$ 132.50
\$495,152 - \$53,000 = \$442,152 deemed as earning 2.25%	=	<u>\$9,948.42</u>
		\$10,080.92

Total deemed assessable income = \$10,081/26 = \$387.73 p.f.

The income test threshold in order to receive the full Age Pension is \$178 per fortnight

So, \$387.73 - \$178 = \$209.73 x 0.5 = \$104.87 reduction per fortnight

Therefore, **Age Pension payable** \$944.30 - \$104.87
= \$839.43 p.f.
= **\$21,825,18 p.a.**

Conclusion:

- Elaine, due to the Government Age Pension rules, you will be assessed on the means test that will pay you the lowest rate per fortnight, which in your situation is the Assets test.
- The amount you would receive under your current situation would be approximately \$6,834.10 per annum (\$262.85 per fortnight).

(C) AGE PENSION ENTITLEMENT AT RETIREMENT IF YOU REDUCED YOUR SUPERANNUATION BALANCE BY \$400,000

As your assets exceed the 'cut-off' limit of \$583,000 you would not be eligible to receive an Age Pension.

Retirement Projections

This section of your Statement of Advice details your projected capital position in retirement based on certain scenarios. The following assumptions have been used in each of the scenarios:

- Capital value of superannuation increases by 6.0% p.a. & 4.0% p.a.
- Continue to work for five years
- Maximum superannuation contributions of \$25k p.a. to superannuation accumulation fund for the next five years
- Minimum drawdown of 5% p.a. from superannuation pension fund for the next five years
- Annual income of \$45,000 required in retirement increasing with CPI at 2.5% p.a.

Scenario 1

- Continue 'as is' and do not gift any monies to the children

Scenario 2

- Gift \$150k to each of the four children (\$600k in total) now

Scenario 3

- Gift \$100k to each of the four children (\$400k in total) now

Scenario 4

- Gift \$50k to each of the four children (\$200k in total) now

Scenario 5

- Continue 'as is' for the next five years and gift the \$600k at retirement

Scenario 6

- Continue 'as is' for the next five years and gift the \$400k at retirement

Scenario 7

- Continue 'as is' for the next five years and gift the \$200k at retirement

Retirement Projections

Under each of these scenarios we have calculated your projected superannuation capital position at retirement and in 20 years' time (age 85). We have also assessed the approximate age at which you may be eligible for a part Age Pension, taking into consideration the assumptions previously outlined.

A summary of these projections is detailed in the following tables:

Assuming capital value of superannuation increase as 6% p.a.

Scenario	Value of superannuation capital at retirement	Value of superannuation capital at age 85	Age at which part Age Pension payable
1	\$1,328,393	\$1,964,379	N/A
2	\$588,645	\$314,519	72
3	\$798,847	\$695,291	N/A
4	\$1,060,747	\$1,322,952	N/A
5	\$728,393	\$526,444	85
6	\$928,393	\$1,005,755	N/A
7	\$1,128,393	\$1,485,067	N/A

Assuming capital value of superannuation increase as 4% p.a.

Scenario	Value of superannuation capital at retirement	Value of superannuation capital at age 85	Age at which part Age Pension payable
1	\$1,210,900	\$1,122,827	N/A
2	\$539,354	\$165,558	71
3	\$729,552	\$314,135	78
4	\$967,570	\$684,602	N/A
5	\$610,900	\$210,582	73
6	\$810,900	415,303	82
7	\$1,010,900	\$762,638	N/A

A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice.

What is paid to your adviser?

Plan Fee

You have agreed to a Plan Fee of \$2,200 (Including GST), which will be invoiced to you.

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non-Superannuation Products

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements (if applicable)
- Contact us if you have any questions
- Tell us immediately if any information is incorrect

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix A – Retirement Capital Projections
